Session 5: Financial Instruments I: Presentation and Classification (IAS32)

By the end of this session you must know how IAS32, IFRS7 and IFRS9 divide the work of regulating financial instruments between them, the IAS32 definitions of a financial instrument, financial asset, financial liability and equity instrument, the substance-over-form test used to classify an instrument as debt or equity, how compound instruments are split into their liability and equity components, and how interest, dividends, gains and losses are presented depending on that classification.

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1. Three Standards, Three Jobs

- Financial instruments accounting under IFRS is split across three standards, and the exam expects you to know which standard governs which question.
- **IAS32** sets out the definitions of financial assets, financial liabilities and equity instruments, and the principles for presenting an instrument as one or the other.
- **IFRS9** (which replaced IAS39 from 1 January 2018, though earlier application was permitted) contains the procedures for recognising and measuring financial instruments.
- **IFRS7** contains most of the disclosure requirements relating to financial instruments, layered on top of IAS32's presentation rules.

Recognition (IFRS9) is about determining *when* a financial asset or liability should first appear in the statement of financial position. **measurement** is about the *amount* at which it is shown, both initially and subsequently.

2. IAS32 Definitions

Financial instrument (IAS32): any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial asset: any asset that is cash, an equity instrument of another entity, or a contractual right to receive cash (or another financial asset) from another entity, among other categories.

Financial liability: any liability that is a contractual obligation to deliver cash (or another financial asset) to another entity.

Equity instrument: any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

- Notice the structure: the four definitions are contract-based and mirror each other (one party's financial asset is the counterparty's financial liability or equity instrument).
- This is why IAS32 can regulate all four with a single, unified "substance over form" logic rather than a list of named instruments.

3. Examples of Financial Instruments, Including Derivatives

- Ordinary financial instruments include contracts relating to the issue of shares, the issue of bonds, the making of loans, and trade receivables and payables.
- More complex arrangements are also financial instruments: convertible debt, perpetual instruments, derivatives, interest swaps and hedging instruments.

Derivative: an instrument that transfers the financial risks of an underlying primary financial instrument. One party acquires the right to exchange a financial asset or liability with another party under potentially favourable conditions. The other party takes on the right to exchange under potentially unfavourable conditions. In effect, the parties to a derivative are taking bets on what will happen to the underlying in the future.

4. The Substance-Over-Form Test for Debt vs. Equity

Objective of IAS32: to establish principles for presenting financial instruments as liabilities or as equity.

- IAS32 takes a substance-over-form approach: an instrument is classified according to the substance of the contractual arrangement, not its legal label.
- This distinction matters well beyond the balance sheet, because it affects gearing and solvency ratios, debt covenants, and whether related payments are treated as interest expense or as dividends.

4.1 The Two-Part Test (IAS32 paras 15-16)

- An instrument is an equity instrument if and only if it meets **both** of the following conditions.

Part A: the instrument includes no contractual obligation to (i) deliver cash or another financial asset to another entity, or (ii) exchange financial assets or liabilities with another entity under conditions that are potentially unfavourable to the issuer.

Part B: the instrument will or may be settled in the issuer's own equity instruments.

Example: redeemable preference shares carry a contractual obligation on the issuer to deliver cash on redemption, so they fail Part A and are classified as a financial liability, not equity, regardless of being labelled "shares." Dividends paid on such shares are consequently classified as an expense, not a distribution of equity.

5. Compound Financial Instruments and Split Accounting

Compound financial instrument: an instrument that contains both a liability component and an equity component.

Example: loan stock that is convertible into ordinary shares at the option of the lender is a compound instrument. The loan itself is a liability component, and the conversion option is an equity component.

- IAS32 requires compound instruments to be separated into their two components at issuance, with each recognised separately (one as a financial liability, the other as equity). This is known as split accounting.

Worked setup: on 1 April a company issues a €500,000 4% convertible bond at par, interest payable annually, redeemable at par after five years but convertible into ordinary shares at any time before maturity. The market rate of interest for an equivalent bond without the conversion option is 6.5%. Split accounting requires computing the liability component as the present value of the bond's contractual cash flows (interest and principal) discounted at the market rate of 6.5% (not the coupon rate of 4%). The equity component is then the residual: issue proceeds minus the liability component.

6. Presenting Interest, Dividends, Gains and Losses

- How a payment is presented follows directly from how the instrument was classified in Sections 4-5.
- Interest and dividends relating to a financial liability are normally recognised as an expense in profit or loss.
- Distributions to holders of an equity instrument are debited directly to equity (they never pass through profit or loss).
- Where dividends are classified as an expense (because the underlying instrument is a liability, as with the redeemable preference shares above), they are presented in the statement of comprehensive income either together with interest payable or as a separate line item.

7. Common Mistakes and Exam Traps

- Assuming an instrument's legal name ("preference shares," "loan stock") determines its classification. IAS32 is explicitly substance-over-form. Always test against Part A and Part B.

- Forgetting that Part A and Part B are cumulative conditions (“and,” not “or”). An instrument must clear both to be equity. Failing either one makes it a liability.
- Discounting a compound instrument’s liability component at its own coupon rate instead of the market rate for an equivalent non-convertible instrument. The whole point of split accounting is that the discount gap between the coupon rate and the market rate is what generates the equity component.
- Treating all dividends as equity distributions. Dividends on an instrument that is a liability in substance (e.g. redeemable preference shares) are an expense, not a distribution.
- Confusing the three standards’ roles: IAS32 = presentation/classification, IFRS9 = recognition/measurement, IFRS7 = disclosure. A question about “how much” or “when to recognise” is an IFRS9 question even if it involves an instrument defined by IAS32.

8. Must Know Absolutely

Must know:
• Division of labour: IAS32 presentation/classification, IFRS9 recognition/measurement, IFRS7 disclosure
• Financial instrument = contract creating a financial asset for one party and a financial liability/equity instrument for the other
• Equity instrument test (IAS32 paras 15-16): no contractual obligation to deliver cash/exchange unfavourably (Part A) **and** settled in the issuer’s own equity instruments (Part B). Both required
• Redeemable preference shares fail Part A → liability, and their dividends are an expense
• Compound instruments (e.g. convertible bonds) are split: liability component = PV of contractual cash flows at the market rate for an equivalent non-convertible instrument. Equity component = proceeds − liability component
• Presentation follows classification: liability-related interest/dividends → profit or loss. Equity distributions → debited directly to equity